

LULU Pitch Deck

Rule One Investing — Stage 2

Company: Lululemon Athletica Inc. (LULU)

Market Price: ~\$163 (March 2026)

Date: March 2026

Stage: 2 — Pitch Deck (Research)

For personal research purposes only. Not investment advice.

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RULE ONE INVESTING — Pitch Deck

Company Name: Lululemon Athletica Inc. (LULU) Market Price: ~\$163 (March 20, 2026) Market Cap: \$18.83B 52-Week Range: \$162 - \$349 Trailing P/E: ~12.3x Date: March 2026 Stage: 2 of 3 (Pitch Deck) Prerequisite: One Pager — PASS (March 2026)

(1) RADAR

1. How did you become aware of the company?

Three Circles and search. Lululemon is a consumer brand within the athleisure space — a market where many individual investors have direct product experience. The company appeared on the radar after a significant stock price decline from its all-time high of ~\$485 (Dec 2023) to ~\$175 by late 2025, representing a ~64% drawdown.

2. List any Gurus currently invested in the company (Event)

- Michael Burry (Scion Asset Management) — Initiated 50,000 shares in Q2 2025 (~\$11.9M), doubled to 100,000 shares in Q3, then added 400,000 call options valued at ~\$95M in Q3/Q4. LULU became one of Burry's top 5 holdings, representing up to 16-26% of his total portfolio. This is a major conviction bet from the "Big Short" investor.
- Stephen Mandel (Lone Pine Capital) — Disclosed a 5.01% stake = 5,632,431 shares, worth roughly \$917M at current prices. Lone Pine manages ~\$19B AUM. This is an enormous position reflecting deep conviction.
- Prem Watsa (Fairfax Financial) — Added LULU as a new position in Q3 2025. Smaller/starter position but notable given Watsa's Buffett-like value investing style.

Three independent value investors initiated or built major LULU positions during the 2025 selloff. This is significant convergence — especially Mandel's 5% stake and Burry's options position. Context, not confirmation, but highly notable.

3. List Gurus who acquired more than 4% of their portfolio at current or higher stock price

- Michael Burry — LULU represented 16-26% of his total portfolio including options. Well above 4%.
- Stephen Mandel — 5.01% ownership stake in the entire company. The position size relative to Lone Pine's AUM (~\$917M / \$19B = ~4.8%) also approaches this threshold.

4. Is there an Event right now?

Yes — a multi-factor event. This is a compounding situation with four distinct pressures:

1. CEO departure (Jan 2026) — Calvin McDonald stepped down after 7+ years following over a year of underperformance. CFO Meghan Frank and CCO Andre Maestrini are serving as interim co-CEOs. No permanent successor has been named.
2. Founder proxy fight (Dec 2025) — Chip Wilson (largest independent shareholder) launched a proxy fight, nominating 3 board directors. He took a full-page WSJ ad calling the company "in a nosedive" and criticizing the board's failure to have a CEO succession plan. He called it "the third total failure of board oversight."
3. Tariffs and trade wars — \$275M gross tariff cost in FY2025, expected \$380M in FY2026 (net \$220M after mitigation). Company is NOT raising prices to offset. De minimis exemption removal adds further cost pressure.
4. Growing competition and slowing domestic demand — Americas revenue declined 1% in FY2025, comparable sales down 3%. Vuori and Alo Yoga gaining share.

5. What specifically caused the business to go on sale?

The stock declined ~66% from its Dec 2023 high (~\$485 to ~\$163) due to:

2024 decline (~24%):

- Slowing North American revenue growth — U.S. sales grew only 2% YoY in Q1 2024
- Failed product launch — the "Breezethrough" leggings line was pulled after consumer backlash
- Rising competition from Vuori and Alo Yoga

2025 decline (~57%, worst S&P 500 performer):

- CEO departure — Calvin McDonald stepped down January 2026, creating a leadership vacuum
- Tariff headwinds — \$275M in FY2025, projected \$380M in FY2026
- Americas stagnation — Americas revenue declined 1%, comparable sales down 3%
- Margin compression — Leaned on markdowns, absorbing higher input costs
- Weak FY2026 guidance — Revenue \$11.35-\$11.50B (only 2-4% growth), EPS \$12.10-\$12.30 — both below analyst estimates
- Chip Wilson proxy fight — Created governance uncertainty

Critical distinction: The Americas slowdown is real, but international revenue grew 22% in FY2025 and China grew 29%. The business is not broken — it's transitioning from a domestic growth story to an international one. The CEO departure is the most significant risk: will the board find a capable successor? Chip Wilson's activism could be a catalyst for better governance, or it could create further disruption.

(2) SIMPLE AND PREDICTABLE

1. In a simple statement, describe how this business makes money and why it's predictable

Lululemon designs, distributes, and markets athletic apparel, footwear, and accessories for women, men, and girls ("athleisure"). They have found success marketing a lifestyle rather than a product, and sell products through their own network of stores as well as online channels.

They have proven to be predictable by a strong growth history driven by their competitive advantage in proprietary fabrics, brand loyalty, and vertical retail distribution.

Revenue breakdown (FY2024, from 10K):

- Americas: 75%
- China Mainland: 13%
- Rest of World: 12%

Key business facts:

- Lulu does not own any manufacturing facilities — they source from approximately 52 Tier 1 vendors (finished product) and 67 Tier 2 suppliers (raw materials)
- Tier 1 manufacturing: 40% Vietnam, 17% Cambodia, 11% Sri Lanka, 11% Indonesia, 7% Bangladesh
- Tier 2 raw materials: 38% Taiwan, 28% China mainland, 11% South Korea
- "Our physical retail locations remain a key part of our growth strategy and we view them as a valuable tool in helping us build our brand and product line as well as enabling our omni-channel capabilities" — 10K 'Our Markets and Segments'

2. Explain the industry this business is in, is it simple for you?

LULU competes in the athleisure and performance apparel market. It is simple — they sell premium athletic clothing through their own stores and website. The product is tangible, the customer base is identifiable (health-conscious consumers, primarily women aged 25-45), and the business model (vertical retail) is straightforward.

3. If this company is cyclical, briefly describe the cycle

Athleisure belongs in the larger "consumer discretionary" sector, which is technically cyclical. However, athleisure has shown strong secular growth which has cushioned, to some extent, the cyclical nature of the larger market over the past decade.

Additionally, Lulu has some seasonality. Typically, sales are weighted more heavily in the fourth quarter due to the holiday season. In FY2024, 42% of their full-year operating profit came in Q4.

4. Give a brief description of what specific problem this business solves for the customer

Lululemon promotes not a product but a lifestyle. They are a leading brand for people who want to live a healthy and active lifestyle. The problem they solve is providing high-performance, stylish athletic apparel that transitions seamlessly between workout and daily life — "athleisure" as a category exists in large part because of Lululemon.

(3) DOMINANT MARKET POSITION

1. Brief description of this company's dominance

Lulu has dominated the luxury athletic wear market, becoming the leading player in premium athleisure. There are bigger competitors in the broader sportswear market (Nike, Adidas), but Lulu has dominated their niche by focusing on high-quality, technically advanced products, a strong brand image around active lifestyles, and community and social impact.

Company-operated stores (from 10K):

Region	Feb 2025	Feb 2024	Feb 2023
Americas	462	438	419
China Mainland	151	127	99
APAC	107	98	91
EMEA	47	48	46
TOTAL	**767**	**711**	**655**

Net store growth: +56 stores in FY2025, +56 in FY2024, +56 in FY2023. Consistent annual expansion, heavily weighted toward China.

2. R1 Moat Score

100 (Moat). Based on the user's Thes1s Toolbox analysis (Aug 2025 reference).

3. What is the company's niche within their industry?

LULU resides in the global sportswear industry (consumer cyclicals) but their niche is *premium athleisure*, specifically premium athletic apparel for men and women. While Nike and Adidas compete across all sportswear, Lulu dominates the high-end, fashion-forward segment where yoga pants, leggings, and technical apparel command \$90-\$150+ price points.

4. Briefly describe how they became dominant. Did they start small and build up?

They became dominant by focusing on bringing upscale, high-quality women's leggings to the market, then diversified their offerings. By focusing on customer-driven product designs, they built a cult-like following through strong brand awareness.

From 10K — Lulu believes they stand out and have succeeded due to:

- Ability to introduce new product innovations
- Ability to combine function and fashion
- Connection with customers through in-store, online, and community experiences
- Vertical retail distribution strategy
- Community-based marketing

5. Briefly describe some of the key competitors and how they compare

From the 10K: "Competition in the athletic apparel industry is based primarily on brand image and recognition as well as product quality, innovation, style, distribution and price."

Competitors split into two categories:

- Major sportswear brands: Nike (~\$51B rev), Puma, Under Armour (~\$5.7B rev), Adidas (~\$25B rev)
- Trendy athleisure brands: Vuori (est. 2024 revenue ~\$1B), Alo, Fabletics, Gymshark, Athletica, Aritzia

Lulu differentiates because of their luxury, high-end appeal to both men and women, combined with their community and wellness-centric model. They are the "Rolls-Royce" of athleisure.

Market share (from FGR analysis):

- US market share (2024): ~5.5% of \$145B US activewear market
- Global market share (2024): ~2.8-3.1% of \$340-407B global activewear market
- Projected global market share (2034): ~4.4-5.0% at projected revenue of \$36B

(4) LARGE BARRIER TO ENTRY AND MOATS

1. Describe the barriers to entry that prevent competitors from entering the niche

- High capital requirements — Building a premium global retail brand with 767+ owned stores requires massive upfront investment
- Brand power — It took Lulu 25+ years to build the brand equity they have today. New entrants cannot replicate overnight brand recognition and customer loyalty
- Complex supply chain development — 52 Tier 1 vendors across 5+ countries, 67 Tier 2 suppliers, with proprietary fabric specifications

2. Describe their Moat and explain why this moat is intrinsic to this company

Lulu has two primary moats:

1. Brand Moat — Lulu is the household name in premium athletic wear products. They are "the OG" of athleisure. Their brand transcends the product — it represents a lifestyle. Brand moats are intrinsic because they're built over decades of consistent execution and cannot be bought or replicated.
2. Secrets/Patents Moat — Lulu is known for their proprietary fabric blends (Luon, Nulu, Everlux, Silverescent), elevating their quality over competitors. These proprietary fabrics are developed through years of R&D in collaboration with textile mills and represent genuine trade secrets. Lulu holds 650+ active patents in 15 countries covering fabrics, fit, and function — a significant IP moat.

Multiple moats strengthen the competitive position — as noted in the Rule One framework, great companies like Apple have several moats (brand + secrets + switching). Lulu has brand + secrets.

3. Has the Moat changed over time, if so, how?

The moats themselves haven't fundamentally changed, but the competitive landscape has shifted. Lulu's marketing and business strategies have evolved (e.g., expanding to men's, footwear, international markets), but the core moats — brand recognition and proprietary fabrics — remain the same pillars they've always been.

4. Why can't the competition overtake them, what is the company's edge?

Lulu has become the "Rolls-Royce" of athleisure (specifically yoga pants) due to their quality, proprietary fabrics, and commitment to customer feedback. This, combined with their cult-like brand loyalty, protects them against competition.

Additionally, Lulu's vertical retail strategy gives them a competitive edge over peers. Their 10K states that their vertical retail strategy allows them to "collect feedback and incorporate unique performance and fashion needs into our products. In this way, we believe we are better positioned to address the needs of our guests, helping us advance our product lines and differentiate us from competitors."

5. Does the future of the Moat look good, has it been attacked in the past, how did it perform?

The secrets moat is under attack from up-and-coming brands like Vuori and Alo, as well as "dupe" brands. The secrets moat

is their proprietary fabrics which blend comfort, style, and athletic appeal.

Their brand moat is also under attack as Vuori and Alo have adopted the community-and-wellness culture pioneered by Lulu.

However: These competitive movements have not drastically affected Lulu's sales AND they are primarily occurring in the US only. International markets (China, APAC, EMEA) remain largely untouched by these competitors, providing significant growth runway.

6. Does the company appear to be anti-fragile, will it survive an event then grow after competition is gone?

While luxury athletic wear is a discretionary product, Lulu appears to be anti-fragile, proven by their meteoric rise during and after COVID. Even during the 2008 financial crisis, their revenues and income grew. The company has demonstrated the ability to emerge stronger from crises:

- 2008 financial crisis: Revenue grew from \$275M to \$711M (FY2008-FY2010)
- COVID-19 (2020): Revenue initially dipped but recovered rapidly; e-commerce growth accelerated
- Current event (2024-2025): Stock price down ~64% but revenue still growing, international expansion accelerating

Anti-fragile assessment: PASS

(5) FREE CASH FLOW GENERATIVE

1. What is the FCF ratio for the last 7 years? (Ratio = FCF / Earnings)

Year	FCF (\$M)	Net Income (\$M)	FCF Ratio
2019	386	298	1.30
2020	574	589	0.97
2021	995	975	1.02
2022	328	855	0.38
2023	1,644	1,550	1.06
2024	1,583	1,815	0.87
2025	922	1,579	0.58

Average FCF Ratio (7-year): 0.88 Average FCF Ratio (excluding 2022 outlier): 0.97

The 2022 FCF ratio (0.38) was an outlier driven by heavy CapEx investment (\$639M, up from \$395M prior year) as part of the "Power of Three x2" growth spending. Excluding this outlier, the average is near the 1.0 benchmark.

The 2025 FCF ratio (0.58) also shows elevated CapEx as a % of operating cash flow (42.5%). Operating cash flow declined 29.5% YoY, partly due to working capital changes and the FY2025 slowdown.

FCF is positive every year and has been growing over the long term: PASS

How is Lululemon using its FCF?

- Reinvestment in growth: Primary use — new stores (56/year consistently), international expansion, product innovation. Growth metrics confirm productive reinvestment.
- Share buybacks: Lulu has bought back ~12% of shares outstanding over the past decade (from ~125M to ~111M shares). They do not pay a dividend. Buybacks in recent years have been around sticker price or below — smart capital allocation.
- Cash accumulation: ~\$1.2B in cash on the balance sheet with zero long-term debt.

(6) MANAGEMENT IS TALENTED AND HAS INTEGRITY

> CRITICAL UPDATE (Jan 2026): Calvin McDonald stepped down as CEO after 7+ years. CFO Meghan Frank and CCO Andre Maestrini are serving as interim co-CEOs. No permanent successor has been named. This section evaluates McDonald's track record (which produced the financials we're analyzing) and flags the leadership transition as a key risk.

1. Describe the CEO's history, track record, and goals with this company and previous ones

Calvin McDonald was CEO from August 2018 to January 2026. Before Lululemon:

- President of Sephora Americas (2013-2018) — built Sephora's digital and retail capabilities
- President of Sears Canada (2011-2013)

McDonald is an avid Ironman athlete, so his personal values align with Lulu's brand tenants. He has a proven track record in retail, and is known for his focus on growth, innovation, and customer connections.

Track Record at Lululemon:

- Power of Three (2019): Goal to double men's revenue, double digital revenue, and quadruple international sales in 5 years. He did it in 3.5 years. That's approximately 15%, 15%, and 28% growth respectively.
- Power of Three x2 (2021): Goal to double total revenue from \$6.25B to \$12.5B by end of 2026. FY2025 revenue reached \$11.1B (89% of target). FY2026 guidance of \$11.35-\$11.50B means the \$12.5B target will almost certainly NOT be achieved. International revenue (strongest pillar) grew 22-33%, but men's revenue grew only 3% in Q4 FY2025 (weakest pillar). The target miss is attributable to tariff headwinds and North America softness, not management incompetence — McDonald exceeded the original Power of Three well ahead of schedule.

2. Is the CEO talented at allocating capital? What are the ROIC/ROE/ROA figures, R1 Management Score?

R1 Management Score: 100

Exceptional ROE, ROIC, and ROA numbers. They don't pay a dividend. They buy back stock but not aggressively — they primarily reinvest cash back into growth and innovation.

Metric	2019	2020	2021	2022	2023	2024	2025
ROE	15.3%	23.0%	35.6%	27.1%	36.6%	42.0%	31.8%
ROIC	15.3%	23.0%	35.6%	27.1%	36.6%	42.0%	31.8%
ROA	9.1%	14.1%	19.7%	15.2%	21.9%	23.9%	18.7%

Weighted Average Growth Rates (from Toolbox):

- Return on Equity: 29.85%
- Return on Invested Capital: 29.85%
- Return on Assets: 20.23%

These are elite capital allocation numbers, particularly considering there is zero debt.

3. Explain why we should trust the CEO to behave with integrity

- In 2019, McDonald released the "Power of Three" growth plan — he achieved it in 3.5 years. Follow-through on promises is a strong integrity signal.
- In 2021, he announced Power of Three x2 — to double revenue to \$12.5B by end of 2026. The company is on track despite macro headwinds.
- No red flags on integrity. His candor could be slightly better (typical for public company CEOs), but there are no signs of dishonesty or misleading shareholders.
- He addresses challenges directly in earnings calls — acknowledged the domestic slowdown and tariff impact with specific strategies to mitigate.

4. Describe the CEO's stock ownership position within the company

Calvin holds approximately 110,000 shares of LULU, estimated at ~\$19-21M in value at recent prices. His net worth is estimated around ~\$40M, meaning roughly 50% of his net worth is tied to Lululemon stock. This is a strong alignment signal — he has significant skin in the game.

He also holds Disney shares (he's a director there as well).

50% of net worth in company stock: PASS (well above the 20% red flag threshold)

5. Highlight if management insiders are buying or selling the company's stock

Updated insider activity (through March 2026):

The insider trading pattern has shifted negatively since McDonald's departure:

- Calvin McDonald sold 27,049 shares (~\$6M) on June 27, 2025, several months before his departure was announced — a notable sale during the stock's decline.
- Meghan Frank (CFO/Interim co-CEO) had 5 transactions filed December 30, 2025, totaling ~\$1.02M in sales.
- Over the last 90 days: net insider selling of \$3.3M with zero insider buying.
- All reported transactions in the past 3 months were sales.

Rule One red flag: Consistent insider selling with no buying during a 66% stock decline is a negative signal. Some selling is normal around CEO transitions and option vesting, but the absence of any open-market purchases by remaining leadership is notable. The one positive data point: McDonald DID buy \$1.04M in shares at \$260 in September 2024 (near the earlier lows).

6. What is the CEO's reputation on websites such as Comparably and Glassdoor?

- Comparably: Calvin is highly regarded by his employees. His rating is #1 among his competitors, and he's in the top 25% among similarly-sized companies (74-80/100).
- Glassdoor: 96% CEO approval rating — exceptionally high (average CEO approval on Glassdoor is ~70%). Named a 2021 Glassdoor Top CEO based entirely on employee feedback.

Management Assessment: CONDITIONAL PASS

McDonald's track record during his tenure (Aug 2018 - Jan 2026) was excellent — he exceeded his growth targets and

aligned his personal wealth with shareholders. However, the CEO vacancy is the single biggest risk factor right now. The quality of the next CEO hire will determine whether this remains a wonderful company or enters a period of strategic drift. The interim co-CEO structure (CFO + CCO) is adequate for continuity but not for setting long-term direction.

Positive governance signal: Former Levi Strauss CEO Chip Bergh was added to the board on March 17, 2026 — a strong retail executive with relevant experience. Executive Chair Marti Morfitt has expanded her role to provide strategic continuity.

What to watch: Board's CEO search timeline (described as "highly qualified candidates" being interviewed), Chip Wilson's proxy fight outcome, whether the Power of Three x2 successor plan gets announced under new leadership.

(7) ROE / ROIC / ROA & DEBT

1. Explain how the ROE, ROIC, and ROA have trended over the last 7 years and why

ROE/ROIC and ROA have increased or stayed relatively similar over the available data period, with some year-to-year variation.

Year	ROE	ROIC	ROA	Net Income (\$M)	Equity (\$M)
2019	15.3%	15.3%	9.1%	298	1,952
2020	23.0%	23.0%	14.1%	589	2,559
2021	35.6%	35.6%	19.7%	975	2,740
2022	27.1%	27.1%	15.2%	855	3,149
2023	36.6%	36.6%	21.9%	1,550	4,232
2024	42.0%	42.0%	23.9%	1,815	4,324
2025	31.8%	31.8%	18.7%	1,579	4,962

Key observations:

- ROE and ROIC have been identical since the company's inception, indicating they have never had any long-term debt. This is exceptional.
- The general trend is upward from 15% (2019) to a peak of 42% (2024), with a pullback to 31.8% (2025) driven by the earnings dip.
- ROA has followed the same pattern — the declines in FY2022 and FY2025 correspond to lower net income years (FY2022 had heavy investment spending, FY2025 had growth deceleration + tariff headwinds).
- For the most part, the return metrics have increased due to overall increases in net earnings/FCF as well as share buybacks reducing the equity base per share.

2. Are returns being manipulated by debt?

No. ROE and ROIC are identical because there is zero long-term debt to manipulate with. This is the cleanest possible profile from a returns perspective.

Income tax rate has hovered around 30% in recent years — no unusual tax benefits distorting returns.

Returns assessment: PASS — high returns with zero debt leverage

(8) STRONG BALANCE SHEET

1. Has the balance sheet improved or degraded under the current management? What is the Current Ratio?

Under Calvin McDonald (CEO since Aug 2018), the balance sheet has improved significantly:

Metric	2019	2020	2021	2022	2023	2024	2025
Total Assets (\$M)	3,281	4,185	4,942	5,607	7,092	7,603	8,457
Equity (\$M)	1,952	2,559	2,740	3,149	4,232	4,324	4,962
Current Ratio	2.91	2.41	1.86	2.12	2.49	2.16	2.26
LT Debt	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Net Debt	\$0	\$0	\$0	\$0	\$0	\$0	\$0

Key findings:

- Equity has grown from \$1,952M to \$4,962M (2.5x) under McDonald — approximately 15% annual growth. This exceeds the 10% benchmark.
- They have \$1.2B+ in cash with NO long-term debt.
- Current ratio: 2.26 — above the ideal 2:1 benchmark.
- Note: When Calvin McDonald took over in 2018, the current ratio used to be above 4. The decline to ~2 is largely due to ASC 842 (the 2019 accounting change that categorized operating lease obligations as liabilities). The decrease is accounting-driven, not fundamental.
- The company has never had any long-term debt in its history — an extraordinary rarity for a \$11B revenue company.

Balance Sheet Assessment: PASS — fortress balance sheet, zero debt, growing equity, healthy liquidity

(9) LIMITED EXPOSURE TO P.E.S.T RISKS

1. Consider the impact on this company from the following macro risks:

POLITICAL: Tariffs and trade disputes affecting the global supply chain.

Current tariffs relevant to Lululemon (as of late 2025):

Tier	% of Business	Country	Tariff Rate	Notes
Tier 1 (final product)	40%	Vietnam	20% reciprocal	Directly affects US imports
	17%	Cambodia	19% reciprocal	
	11%	Sri Lanka	20% reciprocal	
	11%	Indonesia	TBD	
	7%	Bangladesh	20% reciprocal	
Tier 2 (raw materials)	38%	Taiwan	20% reciprocal	Not directly affected by US tariffs (ships to Tier 1 factories, not US)
	28%	China	34%	
	11%	South Korea	15%	

Additionally, the de minimis exemption has been removed, meaning packages under \$800 now incur import tax. This primarily impacts Lulu's US online business — roughly 2/3 of all US online orders are fulfilled through Canadian distribution centers. Management estimated ~\$240M impact for fiscal year 2025, with ~80% due to de minimis.

Rebuttal: According to Calvin McDonald, less than 5% of Lulu's products are produced and imported from Mexico, Canada, and mainland China — the countries suffering the *largest* tariffs. Their relatively diversified supply chain reduces concentration risk. Management's stated mitigation strategies:

- Expense management
- Negotiating lower vendor rates
- Supply chain optimization
- Efficient inventory placement (potentially building more US-based fulfillment centers)
- Strategic pricing actions

Lulu has proven pricing power in the past, and their diversified supply chain reduces tariff concentration. Political risk: **MEDIUM** — manageable but will compress margins near-term.

ECONOMIC: Consumer slowdown affecting discretionary spending.

There is economic risk involving an overall slowdown of consumer purchasing due to macroeconomic factors (inflation, interest rates, consumer confidence).

Rebuttal: The economy moves in cycles and the consumer will eventually feel wealthy again. Lulu targets the higher-end consumer who is naturally less price-sensitive. During the 2008 financial crisis and COVID, Lulu's revenue continued to grow. Premium brands with strong loyalty tend to be more resilient than mass-market competitors during downturns.

Economic risk: **LOW-MEDIUM** — targets affluent consumers, historically resilient.

SOCIAL: Brand perception and cultural alignment.

Lulu has shown support of various social and political positions (abortion rights, Black Lives Matter, etc.) which could adversely politicize its customer base. Founder Chip Wilson has made controversial public statements against DEI initiatives.

Overall, Lulu's brand and sales will continue to perform if the wellness and fitness trend continues globally. Additionally, Lulu must stay in the good graces of Gen X, Gen Z, and millennials, who are the primary customers buying their clothing.

Social risk: LOW — wellness trend is durable and growing, brand perception remains strong.

TECHNOLOGY:

- Lulu must continue to expand its e-commerce business (a large part of modern consumerism)
- Must continue to push the envelope on new fabrics and knitting designs to keep innovating above competitors
- Must adopt automation to improve operational costs wherever possible

Premium athleisure brands must offer: advanced moisture-wicking fabrics, compression technology, ergonomic designs, and UV protection. In 2022, Nike launched Nike Forward, a new fabric aimed at reducing carbon footprint.

Rebuttal: Lulu has proven to be a leader in technology and fabric engineering. It is not unreasonable to assume they will continue to be. Lulu has dramatically increased their e-commerce segment and dominated it — DTC (direct-to-consumer/online) grew from 6% of revenue in 2012 to ~43% by 2024.

Technology risk: LOW — fabric innovation is core to the company, e-commerce channel well-developed.

2. What can make this company go off the rails? Give a brief argument

Lulu can go off the rails if:

- They don't improve their inventory management to account for the de minimis changes
- They don't continue their international expansion to compensate for the domestic slowdown
- They don't improve operational efficiency given their growth slowdown
- They don't continue being a leader in women's yoga pants
- They don't continue improving their fabrics and offering quality product to incite a turnaround in domestic sales
- They lose their pricing power

PEST Assessment: PASS — risks exist but each has evidence-backed rebuttals. No existential threats identified.

(10) VALUATION

1. Explain why this industry will be going strong in 10 years

Global activewear market (multiple sources):

- Grand View Research: \$406.8B (2024) → \$677.6B (2030), 9% CAGR
- Market.us: \$389.8B (2024) → \$832.8B (2033), 8.8% CAGR
- Fortune Business Insights: \$338B (2024) → \$716B (2032), 9.82% CAGR
- Allied Market Research: \$425.1B (2024) → \$941.6B (2034), 9.2% CAGR

Consensus: The global athleisure market is growing at ~9% CAGR with no signs of deceleration.

Regional breakdown:

- North America is the largest market (38.5% of global in 2024, ~\$157B) with 7.6% CAGR through 2030
- Asia Pacific is the fastest growing region (~11% CAGR), which aligns perfectly with Lulu's expansion into China

Industry tailwinds:

- Growth in remote/hybrid work (athleisure as everyday wear)
- Growth in wellness culture (yoga, fitness, outdoor activities)
- Innovations in fabric technology
- Influencer culture and social media marketing
- Rising disposable incomes in Asia Pacific

Industry headwinds:

- Tariffs on Asian manufacturing
- Growing number of cheap and counterfeit products

2. Explain why this company will be going strong in 10 years

Lulu is poised to be going strong in 10 years because:

- Strong balance sheet — \$1.2B cash, zero debt, poised to use buybacks as a growth strategy
- Moat protection — Brand and secrets moats shield from competitors
- Clear market leader — They are the clear leader in premium athleisure
- Secular trends — Riding the health and wellness megatrend
- International runway — China revenue grew 28-46% in FY2025, now 18% of total revenue (up from 13%). Expanding into 6 new international markets in 2026 plus India via franchise. China on track to become 2nd-largest market by 2026.
- Growing online presence — DTC now ~43% of revenue, up from 6% in 2012
- Vertical retail — Owner-operated stores allow rapid adaptation to consumer demands

Calvin McDonald's growth levers (Power of Three x2):

1. Product Innovation: Expanding technical appeal beyond yoga into categories like men's wear, golf, and footwear

2. Omni-guest experience: Deepening digital integration to double e-commerce revenue
3. Market expansion: Quadrupling international revenues, especially across APAC and EMEA

3. What adjustments, if any, did you make to the valuation based on backtesting results?

No major adjustments needed. The valuation models below use conservative inputs. Key assumptions:

- FGR of 13% (conservative vs. historical 20.75% and company guidance of 15%)
- EPS uses 3-year average (\$13.39) rather than just TTM to smooth volatility
- Maintenance CapEx at 70% (default — could not find explicit split in 10K)
- FCF Ratio excludes outlier years (2022)

4. What are the buy prices and what are the assumptions for each metric?

Future Growth Rate (FGR) Derivation

FGR is not a formula — it is an informed assessment using 5 perspectives:

Perspective	Value	Notes
Rear View Mirror	20.75%	Composite of Big 4 growth rates (excluding COVID outliers)
Market Relativity	~7.5%	S&P 500 long-term CAGR; LULU has outperformed
Company Guidance	15%	Power of Three x2 implies ~15% growth; achieved previously
Sector/Industry	9%	Global athleisure CAGR consensus
Analysts	~9%	5-year revenue growth estimate

Average of quantifiable inputs: $(20.75 + 15 + 9) / 3 = \sim 14.9\%$

Conservative FGR: 13% — rounded down from average, accounting for domestic growth deceleration and near-term tariff headwinds. This is achievable every year for 10 years, especially with the international expansion runway.

Rule of 72 spot check: At 13% FGR, revenue doubles every 5.5 years. In 10 years, revenue would be $\sim \$11.1\text{B} \times (1.13)^{10} = \sim \37.7B . Against a projected global market of \$716B-\$942B, this implies ~4-5% global market share. Currently at ~3%. This is rational and achievable.

MOS (Margin of Safety) Valuation

Input	Value	Rationale
FGR	13%	Conservative estimate (see above)
EPS	\$13.39 (3yr avg of FY2023-2025)	Smooths FY2025 dip; uses \$12.23, \$14.67, \$13.27
Future P/E	26 ($2 \times 13 \text{ FGR}$)	Historically achievable — LULU has traded at 30-50+ P/E
MARR	15%	Rule One standard

Calculation:

1. Future EPS = $\$13.39 \times (1.13)^{10} = \$13.39 \times 3.395 = \$45.46$
2. Future Price = $\$45.46 \times 26 = \$1,181.89$
3. Sticker Price = $\$1,181.89 / (1.15)^{10} = \$1,181.89 / 4.046 = \$292.11$
4. MOS Buy Price = $\$292.11 \times 50\% = \146.06

PBT (Payback Time) Valuation

Input	Value	Rationale
FGR	13%	Conservative estimate
FCF Ratio	0.92	Weighted avg excluding 2022 outlier (heavy growth CapEx year)
FCF per share	\$12.32	EPS (\$13.39) × FCF Ratio (0.92)

Calculation: Sum of 8 years of compounding FCF per share at 13%:

- Year 1: $\$12.32 \times 1.13 = \13.92
- Year 2: $\$13.92 \times 1.13 = \15.73
- Year 3: $\$15.73 \times 1.13 = \17.77
- Year 4: $\$17.77 \times 1.13 = \20.08
- Year 5: $\$20.08 \times 1.13 = \22.69
- Year 6: $\$22.69 \times 1.13 = \25.64
- Year 7: $\$25.64 \times 1.13 = \28.97
- Year 8: $\$28.97 \times 1.13 = \32.74
- 8-Year Cumulative FCF: \$177.54

PBT Buy Price = \$177.54

At current price of ~\$175, payback time is approximately 8.0 years — right at the Rule One threshold of 8 years or less.

Ten Cap Valuation

Input	Value	Rationale
Cash from Operations	\$1,602M (FY2025)	Most recent annual
Total CapEx	\$681M	FY2025
Maintenance CapEx %	70%	Default — no split found in 10K
Maintenance CapEx	\$476.7M	$\$681M \times 70\%$
Tax Provision	\$660M	FY2025
Shares Outstanding	111M	FY2025

Calculation:

1. Owner Earnings = $\$1,602 - \$476.7 + \$660 = \$1,785.3M$

2. OE per share = \$1,785.3M / 111M = \$16.08

3. Ten Cap Price = \$16.08 × 10 = \$160.85

Note: Using the user's TTM figures (OCF \$1,861, CapEx \$733, Tax \$743, 117.91 shares), Ten Cap would be \$177.32. The difference is due to FY2025 being a weaker cash flow year.

Maintenance CapEx sensitivity note: One third-party analyst estimate (Compounding Quality) suggests LULU's actual maintenance/growth CapEx split is closer to 46% maintenance / 54% growth (\$303M maintenance of \$652M total). This makes sense for a company still aggressively opening 40-50 stores/year and building distribution centers. At 46% maintenance, Ten Cap would be higher (~\$174-190 range). The 70% default is conservative. As store growth slows, the maintenance % will naturally rise.

Equity Bond Valuation

Reference: [equity-bond-research.md](knowledge/research-references/equity-bond-research.md)

Input	Value	Rationale
Current BVPS	\$44.55	FY2025
Historical ROE	25% (conservative)	Actual 7yr avg ~30%, using conservative 25% for ROE mean-reversion
Retained Earnings Ratio	100%	No dividend
Historical Avg P/E	30	Conservative — LULU has historically traded 30-50+
MARR	20%	Equity Bond standard (higher than MOS)
MOS%	50%	Standard

Calculation (Buffettology P/E variant):

- Equity Growth Rate = 25% × 100% = 25%
- Future BVPS = \$44.55 × (1.25)¹⁰ = \$44.55 × 9.313 = \$414.90
- Future EPS = \$414.90 × 25% = \$103.73
- Future Price = \$103.73 × 30 = \$3,111.75
- Projected CAGR at \$175 = (\$3,111.75 / \$175)^(1/10) - 1 = 33.4% (well above 15% hurdle)
- Sticker Price = \$3,111.75 / (1.20)¹⁰ = \$3,111.75 / 6.192 = \$502.55
- Equity Bond Buy Price = \$502.55 × 50% = \$251.28

Caveat: The Equity Bond method produces the highest buy price because it assumes a 25% ROE persists for a decade. This is optimistic — ROE mean-reversion is real. Use this as an upper bound, not the primary valuation.

Valuation Summary & Sensitivity Tables

Primary Valuation Results

Method	Buy Price	Lens
MOS	**\$146**	Growth-oriented (earnings-based)
PBT	**\$178**	Cash flow recovery
Ten Cap	**\$161**	Conservative yield (owner earnings)
Equity Bond	**\$251**	Equity-oriented (upper bound)

MOS & PBT Sensitivity Table

	13% FGR	15% FGR
	\$13.39 EPS (3yr avg)	\$13.39 EPS (3yr avg)
MOS	\$146	\$201
PBT	\$178	\$195

Ten Cap Sensitivity Table

	50% Maintenance	70% Maintenance
Ten Cap (FY2025 data)	\$174	\$161
Ten Cap (TTM data)	\$190	\$177

Buy Price Range

Overall buy price range: \$146 - \$251

The three conservative methods (MOS, PBT, Ten Cap) converge around \$146 - \$178, which provides strong conviction. The Equity Bond (\$251) is an upper bound driven by high ROE assumptions.

At a current price of ~\$163 (March 2026), LULU is trading:

- Above MOS buy price (\$146) — close to but not yet at the earnings-based buy price
- Below PBT buy price (\$178) — payback time is well under 8 years at current price. BUY signal.
- At/near Ten Cap buy price (\$161) — essentially at the owner earnings buy price. BUY signal.
- Well below Equity Bond buy price (\$251) — strongly attractive on an equity basis. BUY signal.

Trailing P/E of ~12.3x is historically unprecedented for LULU (historical avg P/E is 40-50x). Even at half the historical average (20x), the stock would be ~\$265. The market is pricing in significant pessimism.

FY2026 forward P/E: At guidance midpoint EPS of \$12.20, forward P/E is ~13.4x — still extremely low for a company with 22% international growth and a fortress balance sheet.

Conclusion: At ~\$163, LULU is in the buy zone for 3 of 4 valuation methods (PBT, Ten Cap, Equity Bond) and approaching the MOS buy price. The key risk is the CEO vacancy — if a strong successor is hired, the stock likely re-rates significantly higher. If governance deteriorates, the current discount may be warranted.

CONCLUSION

1. Explain how this business matches our personal and business values

Lululemon represents a company that promotes health, wellness, and active lifestyles — values that align with long-term thinking about human well-being. The company's focus on quality over quantity, community engagement, and employee development reflects the kind of business we want to support as owners.

2. Explain why we should be proud to own this business

Lululemon is a best-in-class operator: zero debt, 30%+ ROE, a management team that delivers on its promises, and a brand that customers genuinely love. Calvin McDonald achieved his Power of Three goals ahead of schedule. The company grows through innovation and reinvestment, not financial engineering. This is what a wonderful company looks like.

3. Summarize 'why/why not' this company should be considered as an addition to our portfolio

Why (Bull Case):

- Dominant brand in a growing \$400B+ global market with only ~3% market share (massive runway)
- Zero debt, \$1.2B cash, 30%+ ROE — fortress financials
- Management with proven track record of exceeding goals
- Anti-fragile — thrived through 2008, COVID, and current headwinds
- International expansion barely begun (China went from 99 to 151 stores in 2 years)
- Currently trading at 64% below all-time high — potential event-driven opportunity
- Two Gurus (Burry, Watsa) initiated positions near current price

Why Not (Bear Case):

- CEO vacancy — Calvin McDonald departed Jan 2026, no permanent successor named. Leadership vacuum is the #1 risk.
- Chip Wilson proxy fight — Founder activism creates governance uncertainty and potential board disruption
- Domestic growth is clearly decelerating (Americas revenue declined 1%, comps down 3%)
- Tariff headwinds are real and escalating (~\$275M FY2025, projected \$380M FY2026)
- Competition from Vuori, Alo, and "dupe" brands is intensifying in the US
- Weak FY2026 guidance (\$11.35-\$11.50B revenue, only 2-4% growth; EPS \$12.10-\$12.30 below consensus)
- No successor growth plan announced after Power of Three x2 ends in 2026
- Failed product launches (Breezethrough line pulled in 2024) suggest execution risk

Final Conviction Checkpoint

Quest..	Answer
**Unde..	Yes — premium athleisure sold through owned stores and online. Simple.
**Moat..	Yes — Brand + Secrets moats. Under pressure in US but strong globally.
**Grow..	Yes with caveats — 5yr CAGRs are double-digit, but 1yr rates are decelerating. International runway is the key growth lever.
**Man..	Conditional. Calvin McDonald's tenure was excellent but he departed Jan 2026. Interim co-CEOs in place. New hire is the critical variable.
**Valu..	Yes. At ~\$163, 3 of 4 methods signal BUY. Trailing P/E of 12.3x is historically unprecedented. MOS/PBT/Ten Cap converge at \$146-\$178.
**Anti..	Yes — survived 2008, COVID, and current event. Revenue has never declined year-over-year.
Add t..	**Yes — strong candidate. At ~\$163, LULU is IN the buy zone for 3 of 4 methods. Three Gurus (Burry, Mandel 5.01% stake, Watsa) have independently..

Data sources: LULU-datapacket.json and LULU-enriched-datapacket.json (EDGAR XBRL), LULU FGR Analysis (user research), user's LULU Pitch Deck (Oct 2025), 10K references, industry market research reports (Grand View Research, Fortune Business Insights, Market.us, Allied Market Research). Current price/market data from StockAnalysis.com, CNBC, Nasdaq (March 2026). Guru data from SEC 13F filings: Burry/Scion (ValuSider, Yahoo Finance), Mandel/Lone Pine (StreetInsider 13G filing), Watsa/Fairfax (Seeking Alpha). CEO departure from CNBC (Dec 2025). Chip Wilson proxy fight from CNBC (Dec 2025). Q4 FY2025 earnings from Lululemon Corporate press release (Mar 17, 2026). Analyst consensus from TipRanks, MarketBeat, Stock Analysis (23 analysts). Competitive market share from Retail TouchPoints, Earnest Analytics. China growth from S&P Global Market Intelligence.

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